

AtlasGrid Systems

RECOMMENDATION

REPRICE

The asking price does not compensate for definition quality, concentration, fully burdened margins, or leverage fragility. A restructured entry with the same debt quantum clears the declared return hurdles.

DECISION REQUESTED

Authorize a counter at a \$210M fixed-value cap; retain the \$120M debt cap; make contingent value depend on verified live ARR, retention, and margin quality.

The seller ask returns 17.6%, below the 22% hurdle. The selected structure reaches 23.3%.

SELECTED RETURN 23.3% 2.8x	SELLER ASK 17.6% Misses 22% IRR	NAMED DOWNSIDE 6.2% 1.3x	NORMALIZED EBITDA \$25.9M Seller: \$34.9M
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What must be true before advancement

Validate cancellation rights Deal counsel Reduce live-ARR credit or reprice if cancellation rights are broader than modeled.	Reconcile parent concentration Commercial diligence lead Re-underwrite concentration and price if master agreements reveal greater parent exposure.	Support seller EBITDA add-backs QoE lead Remove unsupported EBITDA and rerun leverage, covenants, maximum bid, and returns.
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Path to reconsideration

Counter at a \$210M fixed-value cap; Retain the \$120M debt cap; Give no pricing upside credit.